

Service Level Agreement Application Uptime & Incident Response

Supplier:	Bernard, Warren and Combs	Supplier ID:	S00013
Document Type:	Service Level Agreement	Effective Date:	January 1, 2024
McKesson Entity:	McKesson Corporation	Expiration Date:	December 31, 2026
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Supplier HQ	North Alexandraberg, IL		

1. PURPOSE AND SCOPE

This Service Level Agreement ("SLA") defines the performance standards that Bernard, Warren and Combs ("Supplier") must meet when delivering IT Consulting Services services to McKesson Corporation. This SLA is incorporated into and forms part of the Master Service Agreement dated January 1, 2024.

2. SLA METRICS AND THRESHOLDS

KPI Metric	Target (Green)	Warning (Amber)	Breach (Red)
Application Availability	99.5%	99.0%	98.0%
Incident Response (P1)	15 min	30 min	60 min
Change Success Rate	95%	90%	85%

3. SLA BREACH REMEDIES

- 3.1 No financial remedy applies for performance in the Target (Green) zone.
- 3.2 First Quarter Breach: If any metric falls into the Breach (Red) zone for the first time in any quarter, a service credit of **3% of monthly fee** will be applied to the following invoice.
- 3.3 Repeated Breach: If any metric falls into the Breach (Red) zone for a second consecutive quarter, a service credit of **5% of monthly fee** will be applied.
- 3.4 Warning Zone: Performance in the Warning (Amber) zone triggers a formal written notice and requires a corrective action plan within 10 business days. No financial penalty applies for amber performance alone.

4. MEASUREMENT AND REPORTING

- 4.1 Bernard, Warren and Combs shall provide McKesson with a monthly SLA performance report by the 5th business day of the following month. Reports must include actual performance against each metric, root cause analysis for any amber or red performance, and a corrective action plan.
- 4.2 McKesson reserves the right to independently audit SLA performance data using its own monitoring tools. Discrepancies exceeding 2% between supplier-reported and McKesson-measured data will default to McKesson's figures.

5. TERMINATION FOR PERSISTENT SLA FAILURE

5.1 McKesson may terminate this Agreement for cause without payment of early termination fees if: **10% consecutive months**.

5.2 Prior to exercising termination rights, McKesson must issue a formal cure notice and allow Bernard, Warren and Combs 30 days to demonstrate improvement.

6. EXCLUSIONS AND FORCE MAJEURE

SLA credits do not apply to downtime or performance degradation caused by: (a) McKesson-initiated changes or actions, (b) third-party outages outside Supplier's reasonable control, (c) force majeure events as defined in the MSA, or (d) scheduled maintenance windows communicated at least 72 hours in advance.